

Asset opportunities are everywhere. Sure they require a working knowledge of the company that owns the assets, but once that's understood, all you need is patience.

HIGHFLIERS TO LOW RIDERS

Companies don't stay in the same category forever. Over my years of watching stocks I've seen hundreds of them start out fitting one description and end up fitting another. Fast growers can lead exciting lives, and then they burn out, just as humans can. They can't maintain double-digit growth forever, and sooner or later they exhaust themselves and settle down into the comfortable single digits of sluggards and stalwarts. I've already seen it happen in the carpet business and in plastics, calculators and disk drives, health maintenance and computers. From Dow Chemical to Tampa Electric, the highfliers of one decade become the groundhogs of the next. Stop & Shop went from being a slow grower to a fast grower, an unusual reversal.

Advanced Micro Devices and Texas Instruments, once champion fast growers, are now regarded as cyclical. Cyclical with serious financial problems collapse and then reemerge as turnarounds. Chrysler was a traditional cyclical that almost went out of business, became a turnaround, then got turned around and became a cyclical again. LTV was a cyclical steel company, and now it's a turnaround.

Growth companies that can't stand prosperity foolishly diworseify and fall out of favor, which makes them into turnarounds. A fast grower such as Holiday Inn inevitably slows down, and the stock is depressed until some smart investors realize that it owns so much real estate that it's a great asset play. Look what's happened to retailers such as Federated and Allied Stores—because of the department stores they built in prime locations, and because of the shopping centers they own, they've been taken over for their assets. McDonald's is a classic fast grower, but because of the thousands of outlets it either owns or is repurchasing from the franchisees, it could be a great future asset play in real estate.

Companies such as Penn Central may fall into two categories at once, and Disney, over its lifetime, has been in every major category: years ago it had the momentum of a fast grower, which led to the size and financial strength of a stalwart, followed by a period when all those great assets in real estate, old movies, and cartoons were significant. Then, in the mid-1980s, when Disney was in a slump, you could have bought it as a turnaround.

International Nickel (which became Inco in 1976) was first a growth company, then a cyclical, and then a turnaround. One of the old-line companies